

**STOCKINVEST SECURITIES
(PRIVATE) LIMITED**

Financial Statements

For the period from

December 16, 2022

to

June 30, 2023



Parker Russell-A. J. S.

CHARTERED ACCOUNTANTS

**Independent Auditors' Report to the Members of Stocxinvest Securities (Private) Limited
Report on the Audit of the Financial Statements****Opinion**

We have audited the annexed financial statements of **Stocxinvest Securities (Private) Limited** (the Company), which comprise the statement of financial position as at June 30, 2023, and the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows for the period then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information, and we state that we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of the audit.

In our opinion and to the best of our information and according to the explanations given to us, the statement of financial position, statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows together with the notes forming part thereof conform with the accounting and reporting standards as applicable in Pakistan and give the information required by the Companies Act, 2017 (XIX of 2017), in the manner so required and respectively give a true and fair view of the state of the Company's affairs as at June 30, 2023 and of the profit and other comprehensive income, the changes in equity and its cash flows for the period then ended.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* as adopted by the Institute of Chartered Accountants of Pakistan (the Code)^{IV} and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information Other than the Financial Statements and Auditor's Report Thereon

The management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements and our auditors' report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.



Responsibilities of Management and Board of Directors for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the accounting and reporting standards as applicable in Pakistan and the requirements of Companies Act, 2017 (XIX of 2017) and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Board of directors is responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.





Parker Russell-A. J. S.

CHARTERED ACCOUNTANTS

We communicate with the board of directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the board of directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

Based on our audit, we further report that in our opinion:

- a) proper books of account have been kept by the Company as required by the Companies Act, 2017 (XIX of 2017);
- b) the statement of financial position, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows together with the notes thereon have been drawn up in conformity with the Companies Act, 2017 (XIX of 2017) and are in agreement with the books of account and returns;
- c) investment made, expenditure incurred and guarantees extended during the year were for the purpose of the Company's business;
- d) no zakat was deductible at source under the Zakat and Ushr Ordinance, 1980 (XVIII of 1980); and
- e) the company was in compliance with the requirements of Securities Brokers (Licensing and Operations) Regulations, 2016 as at the date on which the statement of financial position was prepared.

The engagement partner on the audit resulting in independent auditors' report is Muhammad Shabbir Kasbati.

(Chartered Accountants)

Date: October 27, 2023

Karachi.

UDIN: AR202310192oEHSLxvWl

Stocxinvest Securities (Private) Limited
Statement of Financial Position
As at June 30, 2023

		June 30, 2023 -----Rupees-----
Assets	Note	
Non-current assets		
Property, plant & equipment	5	1,831,486
Intangible assets	6	2,500,000
		<u>4,331,486</u>
Current assets		
Trade debt		1,720,428
Advance, deposits and prepayments	7	15,577,576
Short term investments - At fair value through profit or loss	8	7,398,875
Cash & bank balance	9	179,900
		<u>24,876,780</u>
Total assets		<u><u>29,208,266</u></u>
Equity and liabilities		
Share capital and reserves		
Authorized share capital		25,000,000
Issued, subscribed and paid-up share capital	10	18,000,000
Accumulated loss		(1,226,346)
Advance against share capital	11	4,000,000
		<u>20,773,654</u>
Sponsors' loan	12	8,000,000
		<u>28,773,654</u>
Current liabilities		
Income tax payable - net		146,473
Trade and other payables	13	288,138
		<u>434,611</u>
Contingencies & commitments	14	
Total equities and liabilities		<u><u>29,208,265</u></u>

The annexed notes from 1 to 18 form an integral part of these financial statements.


Chief Executive Officer


Director

Stoxxinvest Securities (Private) Limited
Statement of profit & loss
For the period from December 16, 2022 to June 30, 2023

		From Dec 16, 2022 to June 30, 2023
	Note	-----Rupees-----
Operating revenue		
Brokerage commission		3,059,106
Capital gain/(loss) on sale of listed securities		1,005,942
Gain/(loss) on remeasurement of investments at fair value		(6,343)
Profit through profit & loss		
Profit on bank accounts/deposits		33,702
		<u>4,092,407</u>
Operating expense	15	(5,254,022)
Loss before taxation		<u>(1,161,615)</u>
Taxation		(64,731)
Loss after taxation		<u><u>(1,226,346)</u></u>

The annexed notes from 1 to 18 form an integral part of these financial statements.


Chief Executive Officer


Director

Stocxinvest Securities (Private) Limited
Statement of Other Comprehensive Income
For the period from December 16, 2022 to June 30, 2023

From Dec 16,
2022 to June
30, 2023
-----Rupees-----

Loss for the year

(1,226,346)

Items that will not be reclassified subsequently to profit & loss

-

Items that may be reclassified subsequently to profit & loss

-

Other comprehensive income / (loss) for the year

-

Total comprehensive loss for the year

(1,226,346)

The annexed notes from 1 to 18 form an integral part of these financial statements.



Chief Executive Officer



Director

Stocxinvest Securities (Private) Limited
Statement of Changes in Equity
For the period from December 16, 2022 to June 30, 2023

	Issued subscribed and paid-up share capital	Advance against future issuance of share capital	Accumulated loss	Total
Balance as at December 16, 2022	-	-	-	-
Proceeds from issuance of shares	18,000,000	-	-	18,000,000
Advance against future issuance of share capital	-	4,000,000	-	4,000,000
Profit after taxation	-	-	(1,226,346)	(1,226,346)
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	(1,226,346)	(1,226,346)
Balance as at June 30, 2023	<u>18,000,000</u>	<u>4,000,000</u>	<u>(1,226,346)</u>	<u>20,773,654</u>

The annexed notes from 1 to 18 form an integral part of these financial statements.



Chief Executive Officer




Director

Stocxinvest Securities (Private) Limited
Statement of Cash Flows
For the period from December 16, 2022 to June 30, 2023

From Dec 16,
2022 to June
30, 2023

Note -----Rupees-----

Cash flow from operating activities

Loss Before Taxation

(1,161,615)

Adjustments for non-cash items:

Depreciation

84,714

Gain/(loss) on remeasurement of investments at fair value

6,343

91,057

Operating profit before working capital changes

(1,070,558)

Changes in working capital

(Increase) in current assets

Trade debt

(1,720,428)

Advance, deposits and prepayments

(15,577,576)

Increase in current liabilities

Income tax payable - net

146,473

Trade and other payables

288,138

Cash used in operations

(16,863,393)

Taxes paid

(64,731)

Net Cash used in operating activities

(17,998,682)

Cash flow from investing activities

Short term investments - At fair value through profit or loss

(7,405,218)

Addition in fixed assets

(1,916,200)

Addition in Intangibles

(2,500,000)

Net Cash used in investing activities

(11,821,418)

Cash flow from financing activities

Proceeds from issuance of share capital

18,000,000

Proceeds from advance against share capital

4,000,000

Sponsors' loan

8,000,000

Net cash generated from financing activities

30,000,000

Net Increase in In cash & cash equivalents during the period

179,900

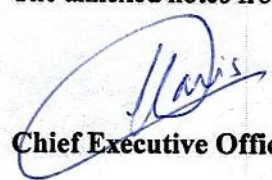
Cash & cash equivalents at the beginning of the period

-

Cash & cash equivalents at the end of the period

9 179,900

The annexed notes from 1 to 18 form an integral part of these financial statements.


Chief Executive Officer


Director

Stocxinvest Securities (Private) Limited
Notes to the Financial Statements
For the period from December 16, 2022 to June 30, 2023

1 THE COMPANY AND ITS OPERATIONS

Stocxinvest Securities (Private) Limited ("the Company") was incorporated in Pakistan on December 16, 2023 as a private limited company under the Companies Act, 2017.

The Company is holder of trading right entitlement certificate (TREC) of Pakistan Stock Exchange Limited (PSX). The principal activity of the Company is to carry on the business of brokerage, underwriting, consultancy and investments.

The registered office of the Company is situated at Office No. 111, Sumya Business Avenue, Muhammad Ali Housing Society, Karachi.

Corresponding figures have not been presented in these financial statements as these are the first set of financial statements after the incorporation of the Company.

2 BASIS OF PREPARATION

2.1 STATEMENT OF COMPLIANCE

These financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. The accounting and reporting standards applicable in Pakistan comprise of International Financial Reporting Standard for Small and Medium Sized Entities (IFRS for SMEs) issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and Provisions of and directives issued under the Companies Act, 2017.

Where provisions of and directives issued under the Companies Act, 2017 differ from the IFRS for SMEs, the provisions of and directives issued under the Companies Act, 2017 have been followed.

2.2 Basis of measurement

These financial statements have been prepared under the historical cost convention, except for short-term investments which are carried at fair value through profit or loss. These financial statements are prepared following accrual basis of accounting except for cash flow information.

2.3 Functional and presentation currency

Items included in in these financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (the functional currency). These financial statements are presented in Pakistani Rupee, which is the Company's functional and presentation currency.

2.4 Critical accounting estimates and judgments

The preparation of financial statements in conformity with the approved accounting standards requires the use of certain critical accounting estimates. It also requires the management to exercise its judgment in the process of applying the Company's accounting policies. Estimates and judgments are continually evaluated and are based on historical experience, including expectation of future events that are believed to be reasonable under the circumstances. Revisions in accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected. The areas where various assumptions and estimates are significant to the Company's financial statements or where judgments were exercised in application of accounting policies are as follow:



a) Taxation

In making the estimates for income tax currently payable by the Company, the management takes into account the current income tax law and the decisions of appellate authorities on certain issues in the past.

b) Provision for doubtful debts

The Company reviews its receivables against any provision required for doubtful balances on an ongoing basis. The provision is made while taking into consideration expected recoveries, if any.

3 CHANGE IN ACCOUNTING STANDARDS, INTERPRETATIONS AND AMENDMENTS TO ACCOUNTING AND REPORTING STANDARDS

a) Amendments to published accounting and reporting standards which became effective during the year:

The following standards, amendments and interpretations are effective for the year ended June 30, 2023. These standards, amendments and interpretations does not have significant impact on the financial statements.

	Period beginning on or after
Amendments to IFRS 3 'Business Combinations' - Reference to the conceptual framework.	January 01, 2022
Amendments to IAS 16 'Property, Plant and Equipment' - Proceeds before intended use.	January 01, 2022
Amendments to IAS 37 'Provisions, Contingent Liabilities and Contingent Assets' - Onerous Contracts - Cost of fulfilling a contract.	January 01, 2022
Amendments to IFRS 16 'Leases' - Amendments to clarify how a seller-lessee subsequently measures sale and leaseback transactions.	January 01, 2024
Amendments to IAS 1 'Presentation of Financial Statements' - Classification of liabilities as current or non-current.	January 01, 2024
Amendments to IAS 1 'Presentation of Financial Statements' - Disclosure of accounting policies.	January 01, 2023
Amendments to IAS 1 'Presentation of Financial Statements' - Non-current liabilities with covenants.	January 01, 2024
Amendments to IAS 7 'Statement of Cash Flows' - Supplier finance arrangements.	January 01, 2024
Amendments to IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors' - Definition of accounting estimates.	January 01, 2023
Amendments to IAS 12 'Income Taxes' - Deferred tax related to assets and liabilities arising from a single transaction.	January 01, 2023
Amendments to IAS 12 'Income Taxes' - Temporary exception to the requirements regarding deferred tax assets and liabilities related to pillar two income taxes.	January 01, 2023

c) New standards and interpretations which have not been adopted locally by the Securities and Exchange Commission of Pakistan (SECP):

The following new standards and interpretations have been issued by the International Accounting Standards Board (IASB), which have not been adopted locally by the Securities and Exchange Commission of Pakistan (SECP):

IFRS 1 First Time Adoption of International Financial Reporting Standards
IFRS 17 Insurance Contracts

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated:

4.1 Property and equipment

All items of fixed assets are measured at revalued amounts, which is the fair value at the date of revaluation less accumulated depreciation and accumulated impairment losses, if any.

Maintenance and normal repairs are charged to profit or loss account as and when incurred. Major renewals and improvements are capitalized.

Assets useful lives and residual values that are significant in relation to the total cost of the assets are reviewed, and adjusted if appropriate on a prospective basis, at each balance sheet date.

Depreciation is charged by applying the straight line method after taking into account residual value, if any, whereby the depreciable amount of the assets is written off over its estimated useful life at the rates mentioned in the note 5 to these financial statements. Depreciation is charged from the month the asset is available for use and up to the month, preceding the disposal.

The gain or loss arising on disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amounts of the asset and the relevant remaining revaluation surplus is reclassified directly to unappropriated profit.

4.2 Intangible asset – Trading rights entitlement certificates (TREC)

TREC is stated at an allocated carrying value out of previously recognized intangible asset (Membership Card) that was presented under revaluation model. Allocation of carrying value has been made as the residual balance of previously recognized intangible asset after deducting the ordinary share of LSE Financial Services Limited (Formerly Lahore Stock Exchange Limited) at their face value.

4.3 Trade and other receivables

These are recognised and carried at original invoice amount and subsequently measured at amortised cost using EIR methodology. Loss allowance is made on the basis of lifetime ECLs that result from all possible default events over the expected life of the trade debts and other receivables. Bad debts are written-off when identified.



4.4 Taxation

Income tax expense is recognized in the statement of profit or loss except to the extent that it relates to items recognized in other comprehensive income or directly in equity (if any), in which case the tax amounts are recognized directly in other comprehensive income or equity.

Current

Provision for current taxation is based on taxable income at the current rates of taxation after taking into account available tax credits and rebates, if any, and any under / over provisions in respect of prior years.

It is also based on the application of provisions of law that may be imposed and changed from time to time.

Deferred

Deferred tax is calculated using the liability method on all temporary differences at the balance sheet date, between the tax base of the assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, un-absorbed tax losses to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future and significant taxable income will be available against which the deductible temporary differences or un-absorbed tax losses can be utilized. The carrying amount of all deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the deferred tax assets to be utilized.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on the tax rates (and tax laws) that have been enacted or substantively enacted at the balance sheet date.

Deferred tax is charged or credited in the profit and loss account, except where deferred tax arises on the items credited or charged directly to the equity, in which case it is included in equity.

4.5 Cash and cash equivalents

Cash and cash equivalents are carried in the balance sheet at cost. For the purposes of the cash flow statement, cash equivalents comprise cash in hand, cash at banks and other short term highly liquid instruments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in values.

4.6 Trade and other payables

Trade payables are obligations under normal short-term credit terms. Liabilities for trade and other amounts payable are carried at cost which is the fair value of the consideration to be paid in future for goods and services received, whether or not billed to the Company. These are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

4.7 Provisions

Provisions are recognized when the Company has a legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate of the amount can be made. Provisions are reviewed at each reporting date and are adjusted to reflect the current best estimate.



4.8 Revenue recognition

The Company recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services. Company's accounting policies with respect to its revenue recognition are as follows:

Brokerage income is recognized as and when such services are provided.

Capital gains and losses on sale of marketable securities are included in the profit and loss account in the period in which they arise.

Dividend income and consultancy fee is recognized when the right to receive is established.

Underwriting commission is recognized when the agreement is executed.

4.9 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

4.9.1 Initial measurement of financial assets

The Company classifies its financial assets into following three categories:

- a) Fair Value through Other Comprehensive Income (FVTOCI);
- b) Fair Value through Profit or Loss (FVTPL); or
- c) At amortised cost.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Except for trade receivables which are measured at the transaction price determined under IFRS 15.

Financial assets are classified and measured at fair value through other comprehensive income (FVTOCI) or amortised cost, if both of the following conditions are met:

- a) The financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial asset and; (Business Model test).
- b) The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principle and Interest thereon. (SPPI test).

All purchase and sales of financial assets are recognised on settlement date.

4.9.2 Subsequent measurement

a) Financial assets at amortised cost

The Company measures its financial assets at amortised cost if business model test & SPPI test is passed. These assets are subsequently measured at amortised cost using effective interest rate (EIR) method and are subject to impairment as at each reporting date. Gains / losses are recognised in the statement of profit or loss when the asset is derecognised / retired / modified.



b) Financial assets at fair value through other comprehensive income (FVTOCI) (Equity instruments).

Upon initial recognition, an entity may make an irrevocable election to classify its equity investments at FVTOCI that are not held for trading purpose. Subsequent changes in the fair value of an equity investment are presented in other comprehensive income which are never reclassified to the statement of profit or loss. Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI.

Equity instruments designated at fair value through OCI are not subject to impairment assessment.

c) Financial asset at fair value through profit or loss (FVTPL)

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as FVTPL if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch. Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss.

4.9.3 Derecognition of financial assets

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all the risks and rewards of ownership.

4.9.4 Financial liabilities

Financial liabilities are initially recognised as financial liability at fair value through profit or loss or at amortised cost using Effective Interest Rate (EIR) method as appropriate. Financial liabilities are initially recognised at fair value net of directly attributable transaction cost in case of loans, borrowings and payables. Financial liabilities at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the statement of profit or loss. Financial liabilities, other than those carried at fair value through profit or loss (FVTPL), are subsequently measured at amortised cost using the EIR method.

4.9.5 Derecognition of financial liabilities

Derecognition of financial liabilities occurs from the statement of financial position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in statement of profit or loss as other income or finance costs.

4.9.6 Off-setting of financial assets and liabilities

Financial asset and financial liability are offset and the net amount is reported in the balance sheet, if the Company has a legally enforceable right to set-off the recognised amounts and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

4.9.7 Loss allowance for ECL / impairment

Financial assets

The Company assesses on a forward-looking basis the Expected Credit Loss (ECL) associated with its financial assets carried at amortised cost and FVTOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk from the date of initial recognition of a financial asset.

For trade receivables, the Company applies 'simplified approach' as permitted by IFRS 9, which requires expected lifetime credit losses to be recognised at initial recognition and throughout the life of the receivables at an amount equal to lifetime ECLs. Loss allowances are recognised in the statement of profit or loss as at reporting date.

Non-financial assets

The carrying amounts of non-financial assets are assessed at each reporting date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. If such indication exists, and where the carrying values exceed the estimated recoverable amount, the assets are written down to their recoverable amount. An asset's recoverable amount is the higher of its fair value less cost to sell and value in use. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows. Non-financial assets that suffered an impairment, are reviewed for possible reversal of the impairment as at each reporting date. Reversal of impairment loss are restricted to the extent that asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss has been recognised. An impairment loss, or the reversal of an impairment loss, are both recognised in the statement of profit or loss.

4.10 Foreign currencies

These financial statements are presented in Pak Rupees, which is the Company's functional currency. All monetary assets and liabilities denominated in foreign currencies are translated into Pak Rupees at the rates of exchange prevailing at the balance sheet date, while the transactions in foreign currency during the year are initially recorded in functional currency at the rates of exchange prevailing at the transaction date. The Company charges all the exchange differences to profit and loss account.

4.11 Provision for doubtful debts

The Company reviews its receivables against any provision required for doubtful balances on an ongoing basis. The provision is made while taking into consideration expected recoveries, if any.

4.12 Borrowings

Borrowings (except for as disclosed in Note 9) are recognized initially at fair value and are subsequently stated at amortized cost. Any difference between the proceeds and the redemption value is recognized in the profit and loss account over the period of the borrowings using the effective interest method.

4.13 Provisions

Provisions are recognized when the Company has a legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate of the amount can be made.

4.14 Dividend and transfer of reserve

Dividend and transfers among reserves declared after the balance sheet date are treated as post balance sheet non-adjusting events hence do not qualify for provision in the financial statements as per the requirements of 'Accounting and Financial Reporting Standard for Medium Sized Entities'. These transfers are, therefore, recorded in the next year's financial statements in which these are declared.

4.16 Earnings / (loss) per share

Earnings per share are determined according to IAS-33 (Earnings per share) by dividing net income / loss by the weighted average number of shares. Currently, there is no dilutive impact on the Company's earnings per share.



5. PROPERTY AND EQUIPMENT

June 30,
2023
--Rupees--
1,831,486

Note

5.1

Operating fixed assets

5.1 Operating fixed assets

	Cost		Accumulated depreciation		WDV as at June 30, 2023	Depreciation rate per annum
	Purchased during the year	As at June 30, 2023	Charge for the year	As at June 30, 2023		
----- Rupees -----						
	1,311,000	1,311,000	43,700	43,700	1,267,300	10%
	284,000	284,000	9,467	9,467	274,533	10%
	276,000	276,000	27,600	27,600	248,400	30%
	10,800	10,800	1,080	1,080	9,720	30%
	34,400	34,400	2,867	2,867	31,533	25%
	1,916,200	1,916,200	84,714	84,714	1,831,486	

5.2 Depreciation has been charged to operating expenses.

[Signature]

6. Intangible assets

This represents trading right entitlement certificate (TREC) of Pakistan Stock Exchange Limited which has indefinite life. The Company acquired (TREC) to commence its securities brokerage business.

		June 30, 2023
	Note	-----Rupees-----
7. Advance, deposits and prepayments		
Base minimum capital	7.1	5,000,000
Exposure - Future	7.2	3,100,000
Exposure - Ready market	7.2	6,400,000
Deposit with Eclear Services Limited	7.3	1,077,576
		<u>15,577,576</u>

7.1 This represents the deposit with Pakistan Stock Exchange Limited in accordance with the PSX Rule Book.

7.2 This represents the deposit with NCCPL in accordance with the NCCPL Regulations.

7.3 This account is maintained with professional clearing member - Eclear Services Limited for making deposits and to undertake proprietary trading in listed securities.

	June 30, 2023
	-----Rupees-----
8. Short term investments - At fair value through profit or loss	
Carrying value	7,405,218
Loss on remeasurement of investment at fair value	(6,343)
	<u>7,398,875</u>

9. Cash & bank balance

Cash in hand	-
Meezan Bank Ltd. - PLS account	179,900
	<u>179,900</u>

10. Share capital & reserves

10.1 Issued, subscribed and paid-up share capital

June 30, 2023	June 30, 2023
Number of shares	-- Rupees --
<u>1,800,000</u>	<u>18,000,000</u>
Ordinary shares of Rs. 10/- each fully paid in cash.	



10.2. All ordinary shares rank equally with regard to residual assets of the company. The ordinary shareholders are entitled to receive all distribution including dividend and other entitlements in the form of bonus and right shares as and when declared by the Company. Voting rights, board selection, right of first refusal and block voting are in proportion to shareholding. As at reporting date, Muhammad Haris and Ayesha Haris each holds 900,000 shares in the Company.

11. Advance against share capital

This represents the advance given by the director's for future issuance of shares.

12. Sponsors' loan

This represents loan given by director's / sponsor's for the purpose of operation of the Company. The loan is repayable at Company's descretion and accordingly it has been accounted for as equity

June 30,
2023

-----Rupees-----

13. Trade and other payables

Rent payable	120,000
Maintenance payable	45,900
Internet expense payable	20,676
Electricity bill payable	21,762
Auditor's payable	79,800
	<u>288,138</u>

14. Contingencies & commitments

There are no contingencies and commitments as at 30 June 2023.

From Dec 16,
2022 to June
30, 2023

Note -----Rupees-----

15. Operating expense

Salaries and other allowances	2,195,000
Eclearn Service Charges	169,623
Electricity expense	85,305
Fees and subscription	267,979
Information technology and internet expenses	175,110
Miscellaneous expenses	143,550
Rent expenses	840,000
Repairs and maintenance	574,006
SECP license fee	300,050
Telephone expense	2,616
Rating expenses	169,500
Donation	50,000
Auditor fee	15.1 150,000
PSX charges	46,569
Depreciation	84,714
	<u>5,254,022</u>

From Dec 16,
2022 to June
30, 2023

-----Rupees-----

15.1 Audit fee

Audit fee

79,800

Other certification

70,200

150,000

June 30,
2023

-----Rupees-----

16. Capital adequacy level

Total assets

29,208,266

Less: Total liabilities

(434,611)

Revaluation reserves

-

Capital adequacy level

28,773,655

17. General

Figures have been rounded off to the nearest of rupee.

18. Date of authorization for issue

These financial statements were authorized for issue on 27 OCT 2023 by the Board of Directors of the Company.



Chief Executive Officer



Director